Valsts kase

REPORT ON CENTRAL GOVERNMENT DEBT MANAGEMENT 2022

BORROWING IN INTERNATIONAL MARKETS

International financial markets supported high uncertainty and volatility in 2022, which was caused by the Russian military aggression against Ukraine and rapid increase of the energy crisis, which resulted in high inflation and monetary policy tightening.

In the given conditions, the biggest challenge was to find the issuance window for a new benchmark bond in the international markets

As Lemitarv market turned more active after summer, on the initiative of neighbouring countries, Latvia used the opportunity to issue a new bond in the form of a 4-year Green Eurobond in the amount of 850 million EUR, reaching the highest investor demand among the issuances of the Baltic States

The chosen maturity of the bond was in line with the investors' interest, and the tenor fitted well in the central government debt maturity profile

Amount	850 million EUR (0.16.2022, 1.Long 4-year
Coupon p.a	3.875%
Launch Spread	+155 bp
Investors/order book	480 - c2.1 billion EUR
Lead managers	Citi, Deutsche Bank, Erste Group, Swedbank

BORROWING IN DOMESTIC MARKET

In 2022 the Treasury reopened outstanding Eurobonds at domestic auctions (+25%), thus increasing liquidity of those bonds

Accommodating to the changing situation in financial markets, similarly to other Eurozone Union countries, Latvia also used the capacity and support of the domestic market in providing funding in 2022

After the aggravation of the geopolitical situation in the spring of 2022, investors' interest increased significantly in short-term bonds with maturities between 2024 and 2026, and, when the situation in markets stabilised, also on original maturities between 2027 and 2030

Investors' demand in auctions remained high throughout the year, allowing to raise the planned amount of funding in the domestic market. In the domestic market it's a short period and to maintain high liquidity in the Treasury's accounts

Total issued amount in domestic market
(million, EUR)



Average weighted yields in domestic market auctions



Bid to cover ratio



Gross issuance in domestic market by instruments in 2022



BORROWING FROM INDIVIDUALS – SAVINGS BONDS

In 2022 following general trends in the financial markets, the interest rates on government savings bonds significantly increased, thus encouraging the demand to pick up

The biggest interest last year was for savings bonds with tenors of 5 years, 6 months and 12 months

The outstanding amount of savings bonds increased more than two times from 2021 and exceeded by the 10-year tenor in savings bonds portfolio

Outstanding savings bonds



Outstanding savings bonds by instrument (2022-end)



BORROWING FROM INTERNATIONAL FINANCIAL INSTITUTIONS

In 2020 and 2021, Latvia already used borrowings opportunities from the European Union in order on favourable financial terms, i.e., funding from SURE facility in amount of EUR 1 865.2 million to reduce unemployment risks in an emergency situation following the outbreak of COVID-19

In 2022, as European Commission financial terms considered favourable, Latvia borrowed from SURE facility for the third time in amount of EUR 500 million for 15 years with a fixed interest rate of 2.750%

CENTRAL GOVERNMENT DEBT TRENDS

Since the beginning of 2020, the increase of the central government debt was determined by the implementation of comprehensive support measures to mitigate the impact of the Covid-19 and, starting from 2022, state support measures to compensate the increase in energy costs

Despite the increase of the debt in recent years, Latvia's debt is still one of the lowest among European Union and Eurozone members, and credit rating agencies do not consider risks to the debt sustainability

Eurobonds represent the largest part (76%) of central government debt by instruments

Central government debt structure



Debt redemption profile



Central government debt dynamics
(national methodology)



CENTRAL GOVERNMENT DEBT PORTFOLIO

In 2022, the debt portfolio was in line with Central government debt management and Cash Management Strategy

In previous years, during the period of historically lowest interest rates, borrowing was performed with longer-term instruments, fixing the interest rate for a long period, thus resulting in increase of duration and decrease of the average weighted interest rate of the debt portfolio

In 2022, as the interest rates increased, and in accordance with the principles established in the Central Government Debt and Cash Management Strategy, the share of short borrowing tenors were increased up to 5 years, resulting in decrease of duration and increase of the average weighted rate of debt portfolio

Central government debt portfolio metrics



Indicator	Strategy	31.12.2022
Maturity profile (% of central government debt)	≤ 1 year ≤ 25%	≤ 3 years ≤ 50%	≤ 5 year ≤ 75%	≤ 7 years ≤ 90%
	17.46%	38.20%	56.40%	76.40%
Share of fixed rate debt	≥ 80%			96.40%
Modulary duration (years)	5.00 - 9.00			5.85
Net debt currency composition	100% (+/- 5%)			100.41%

Central Government Debt and Cash Management Strategy

LATVIA'S CREDIT RATING

Fitch	S&P	Moody's	Fitch	Fitch
A+	A	A3	A-	A-
Stable	Stable	Stable	Stable	Stable

LATVIA'S CREDIT RATING IN "A" LEVEL GROUP KEEPS:

Flexibility and adaptability of the economy

Membership in the European Union, Eurozone and NATO

A moderate level of general government debt and debt servicing costs

Progress in ensuring energy independency from Russia and strengthening energy security

- Latvia banned the Russian gas import on 1 January 2023
- fully provided national gas reserves for the winter period of 2022/2023
- liquefied natural gas (LNG) terminal in Latvia in the medium term, while expanding the use of renewable energy sources such as wind and solar

PRIMARY DEALERS

Erste Group Bank AG

Swedbank

SEB banka

Luminor Bank AS

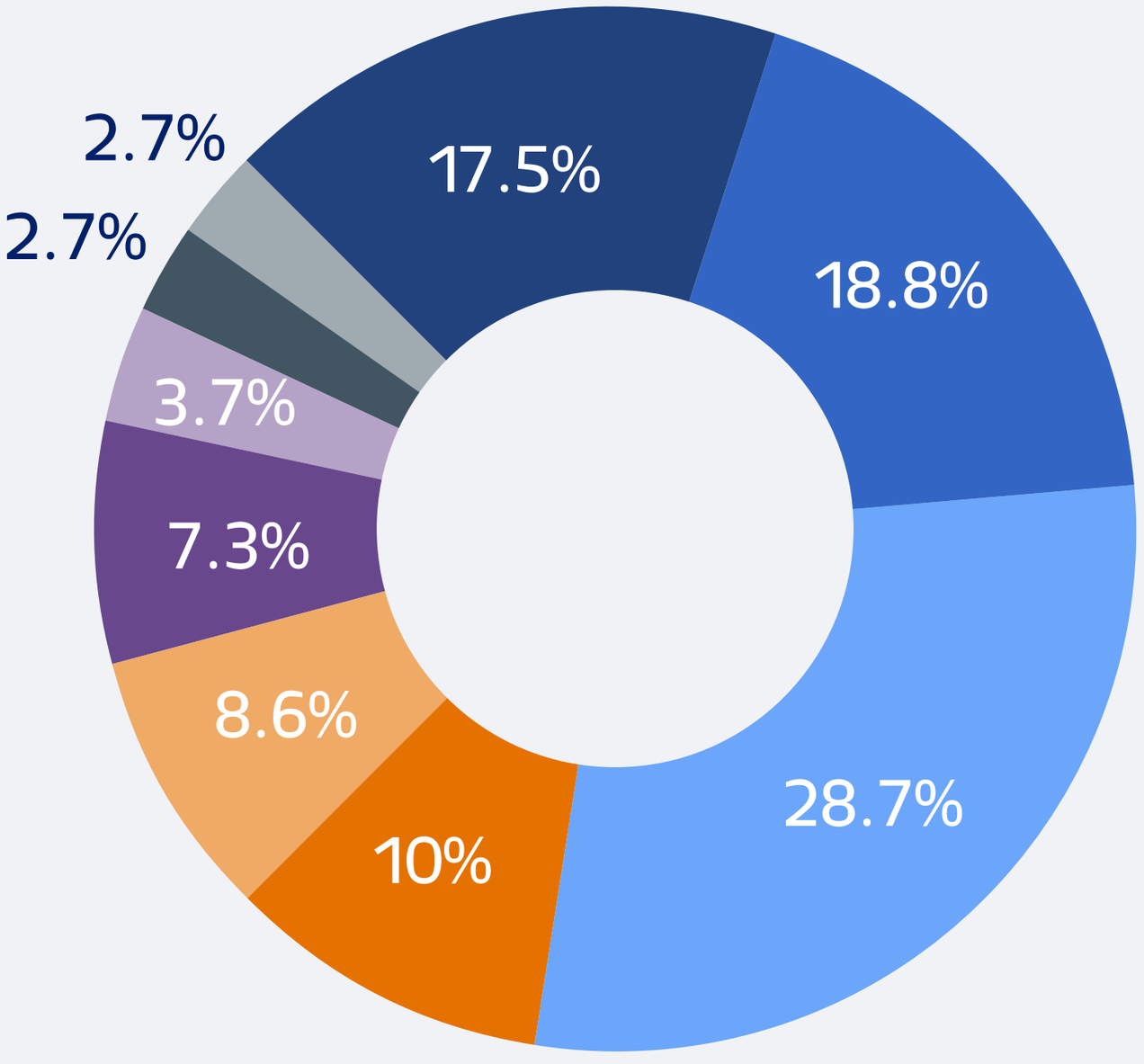
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USEFUL LINKS

www.kase.gov.lv

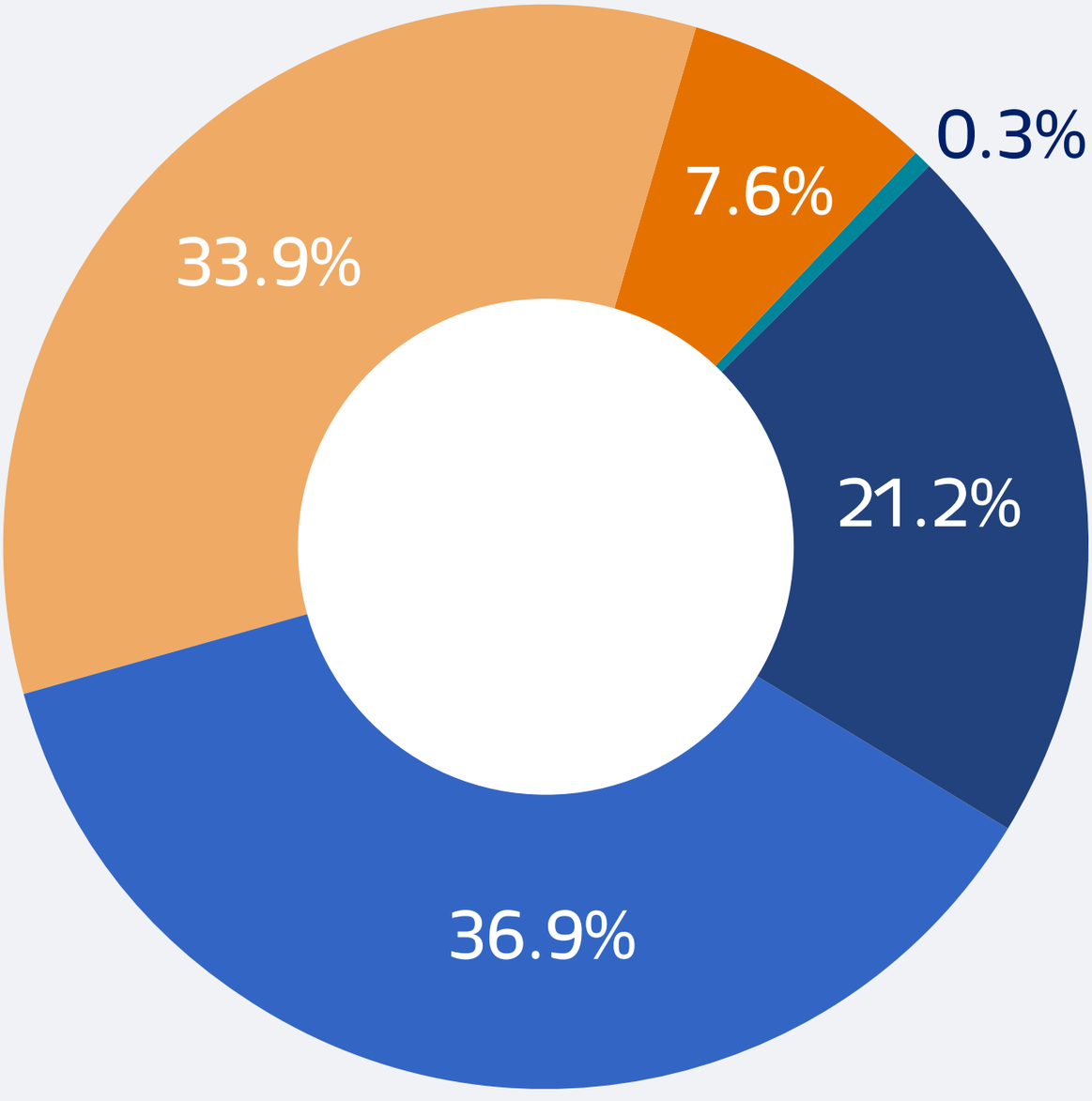
Investor relations

Allocation by geography



- Germany and Austria
- Switzerland
- Nordics
- Benelux
- United Kingdom
- Baltics
- France
- Italy and Spain
- Other

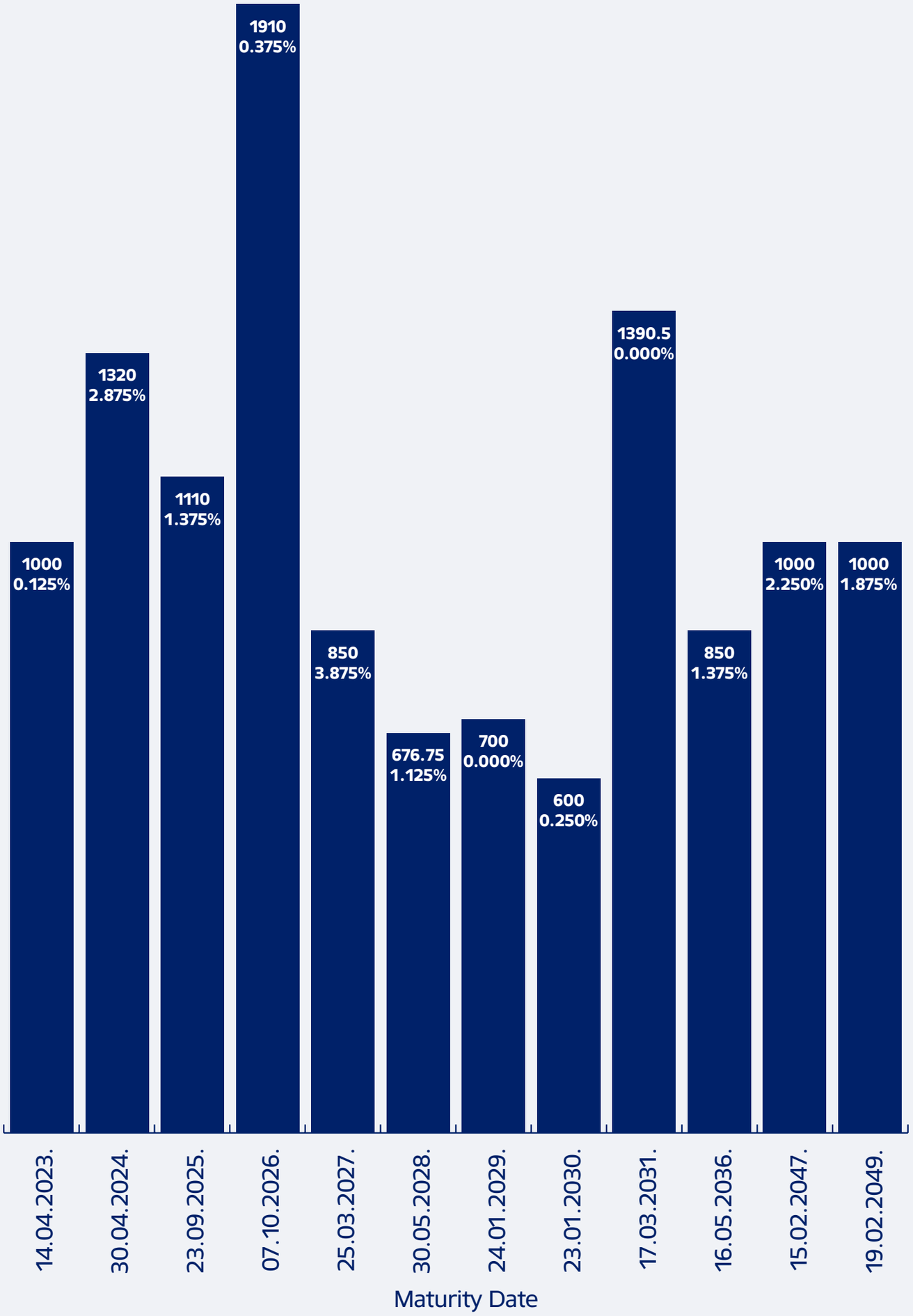
Allocation by investor type



- Banks
- Asset Managers
- Central Banks and Official Institutions
- Insurance and Pensions
- Other

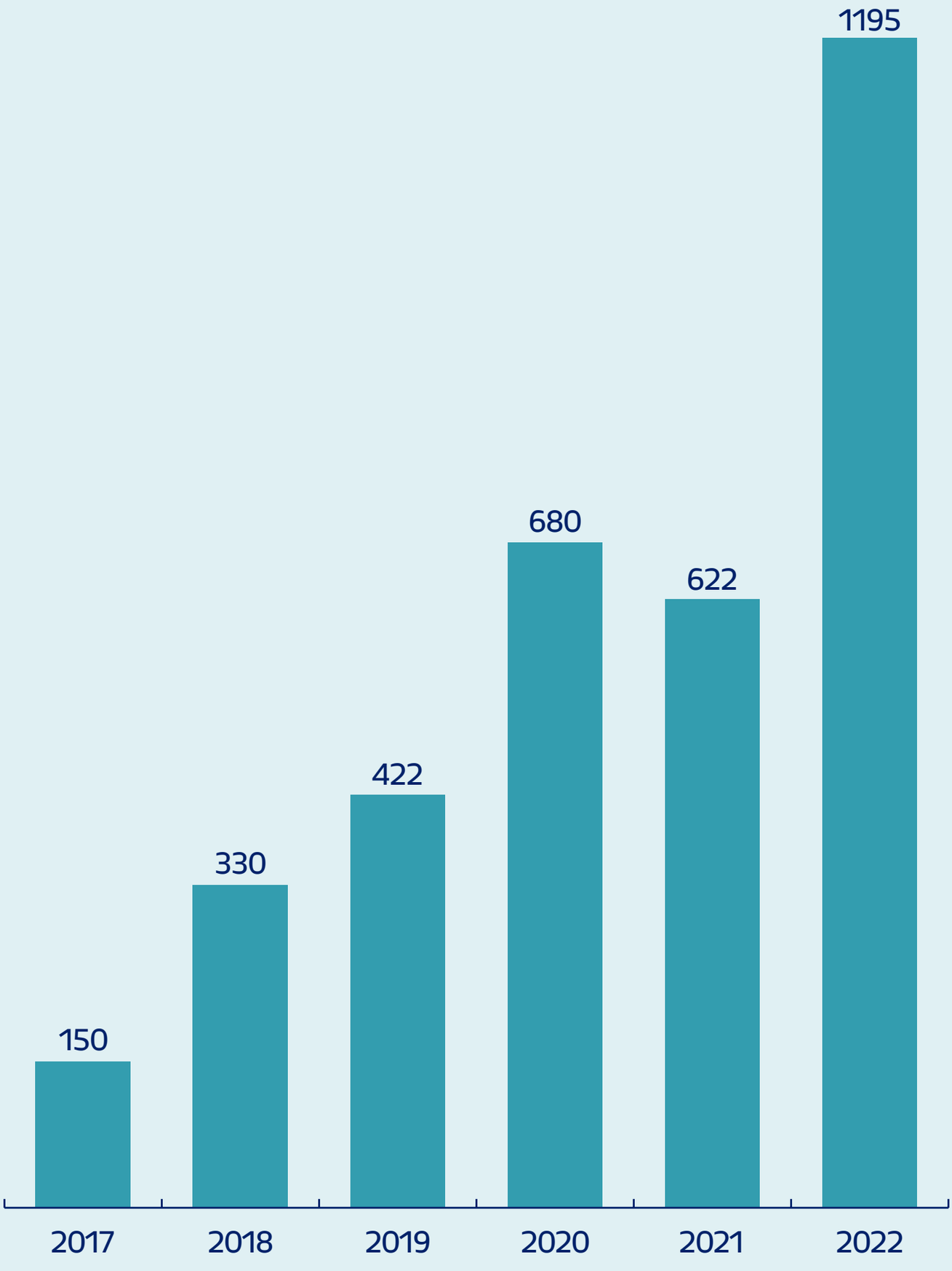
Outstanding eurobonds

(nominal value million EUR and coupon %)



Total issued amount in domestic market

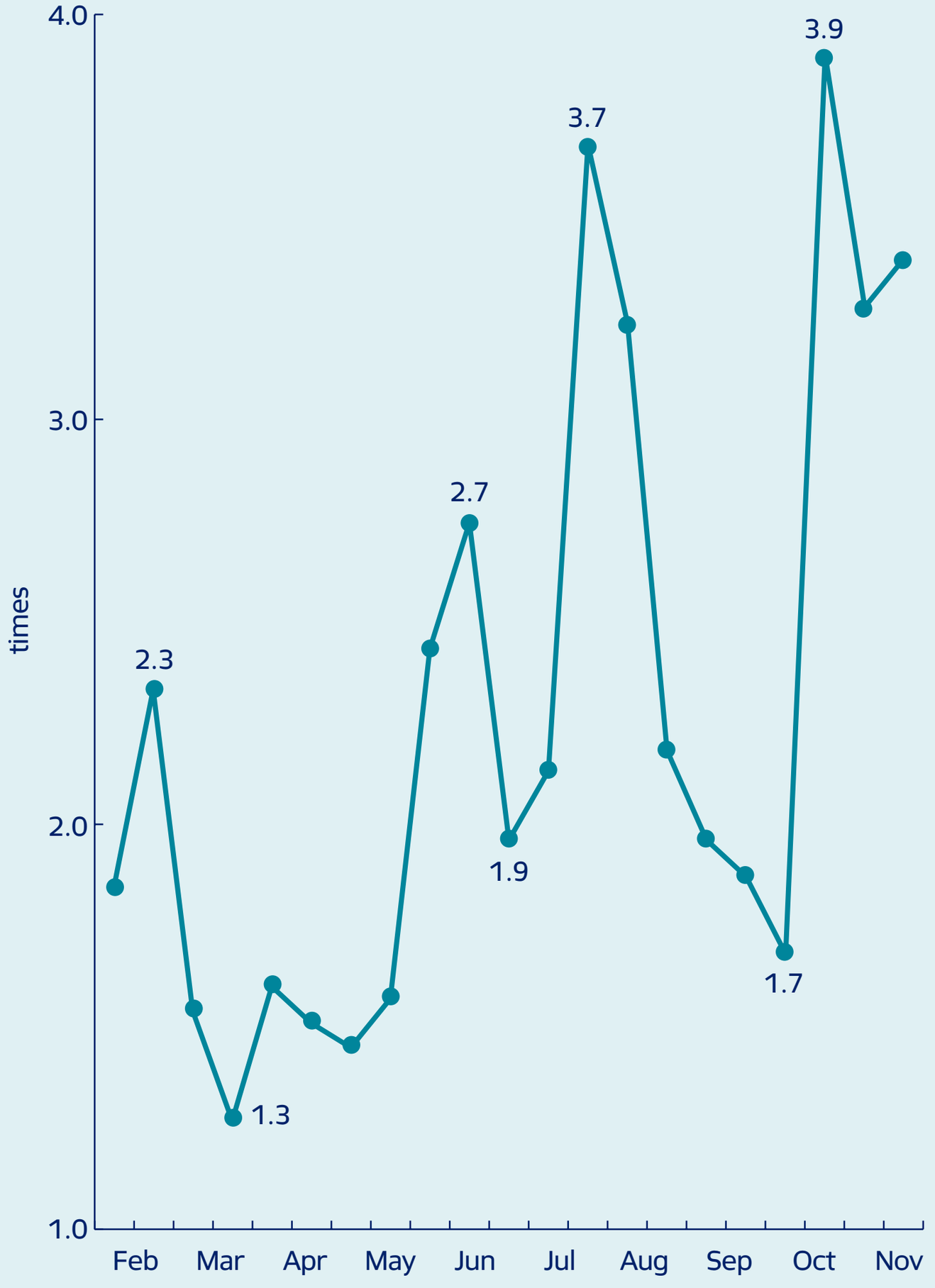
(million, EUR)



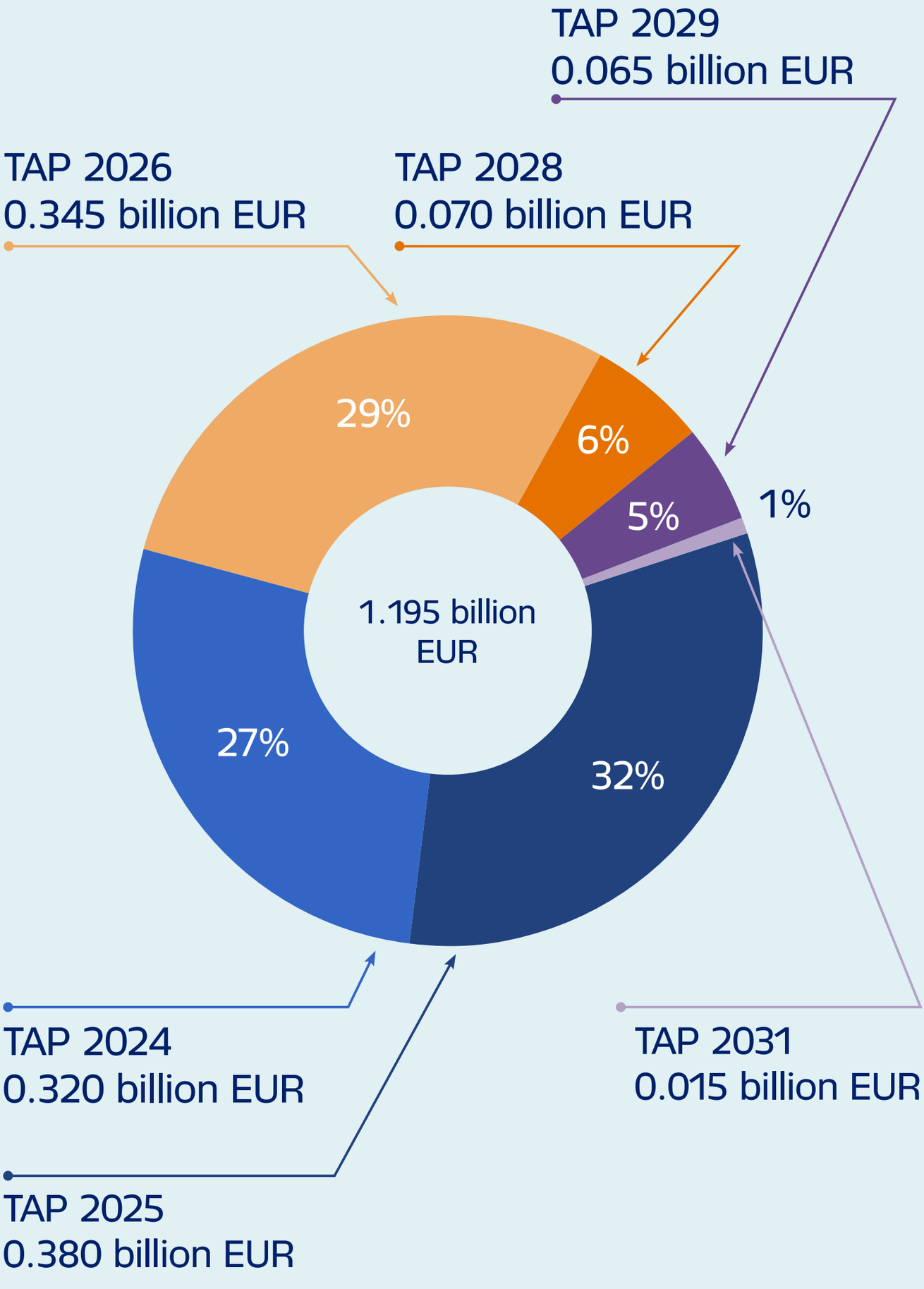
Average weighted yields in domestic market auctions



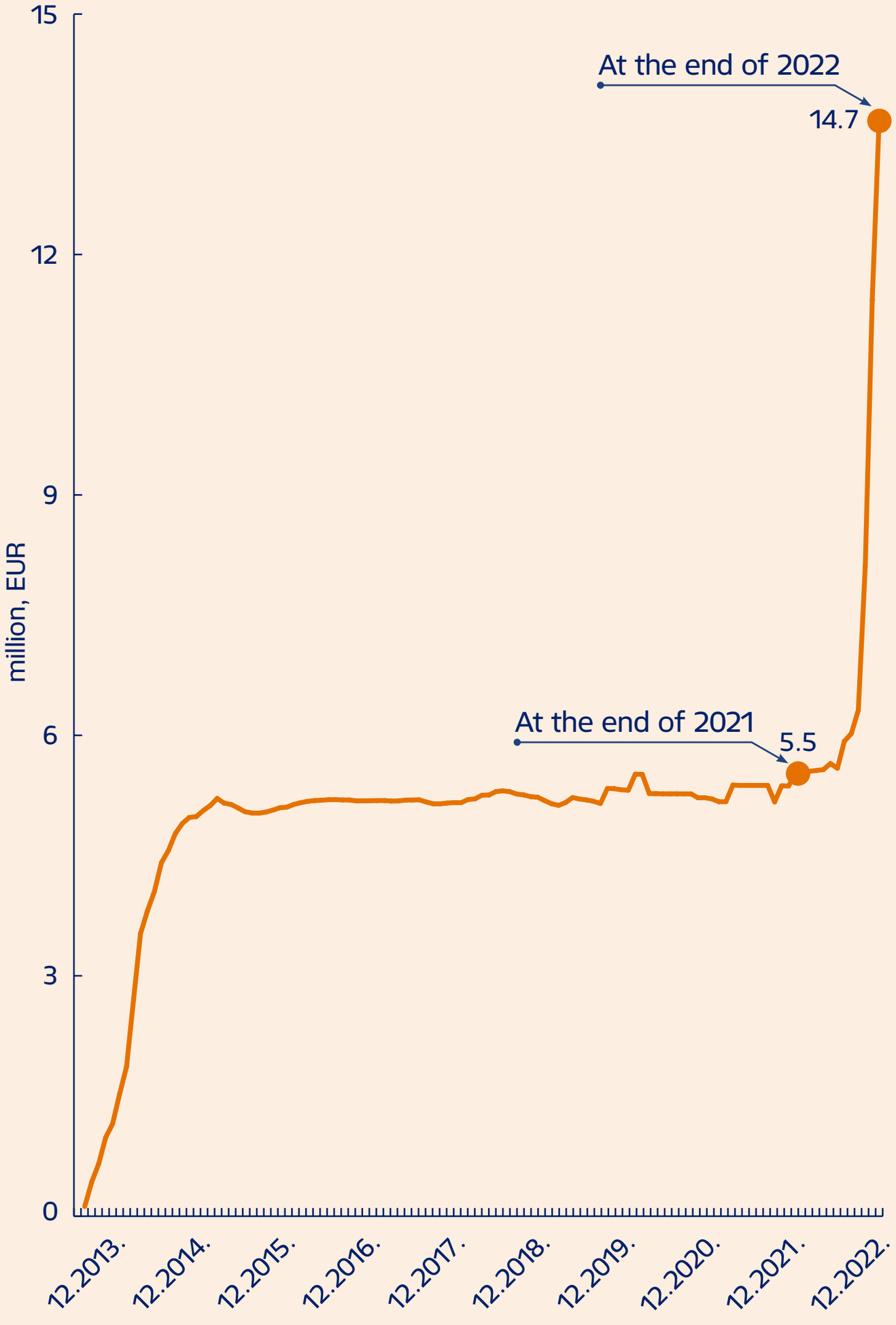
Bid to sold ratio



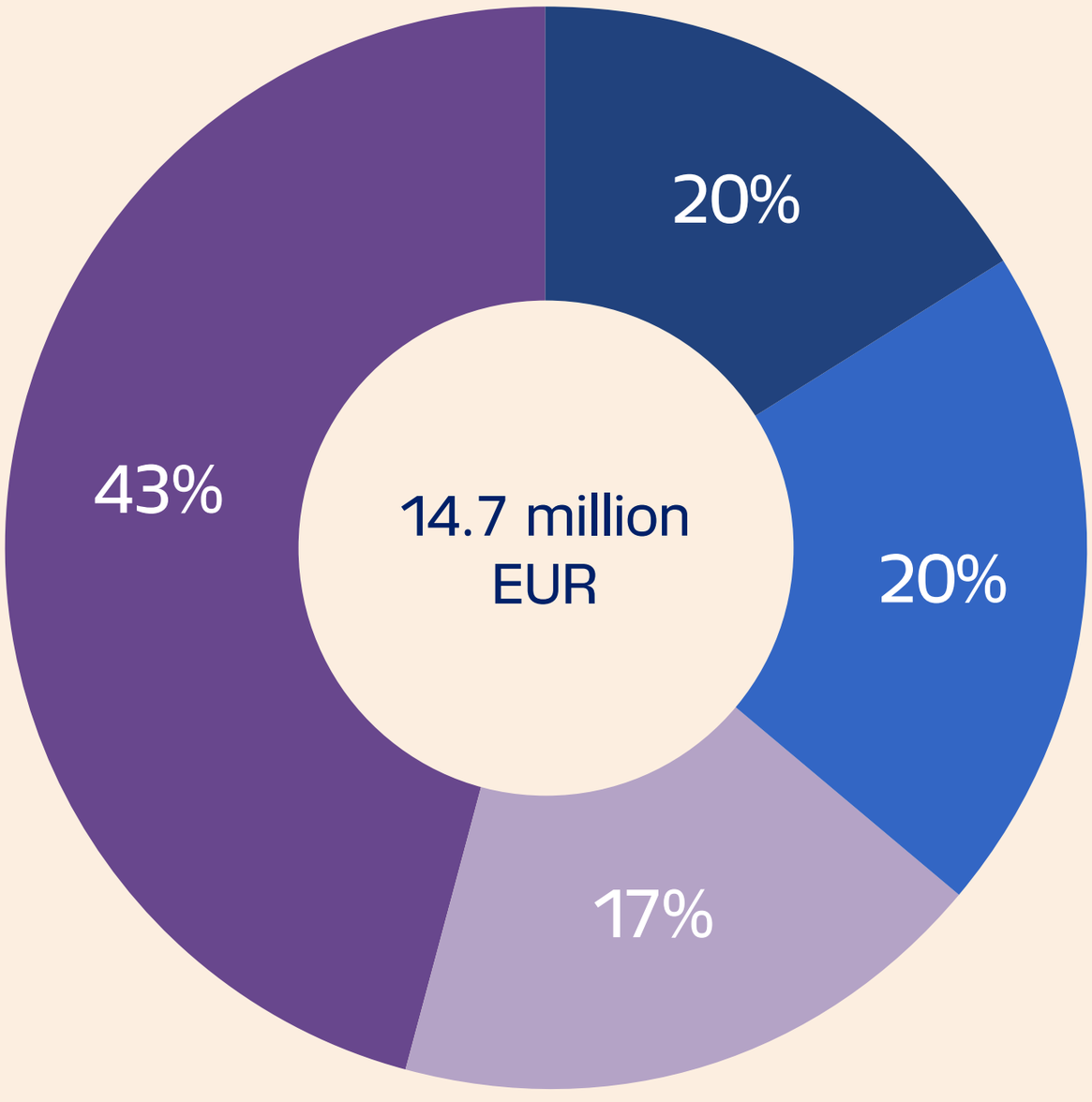
Gross issuance in domestic market by instruments in 2022



Outstanding savings bonds

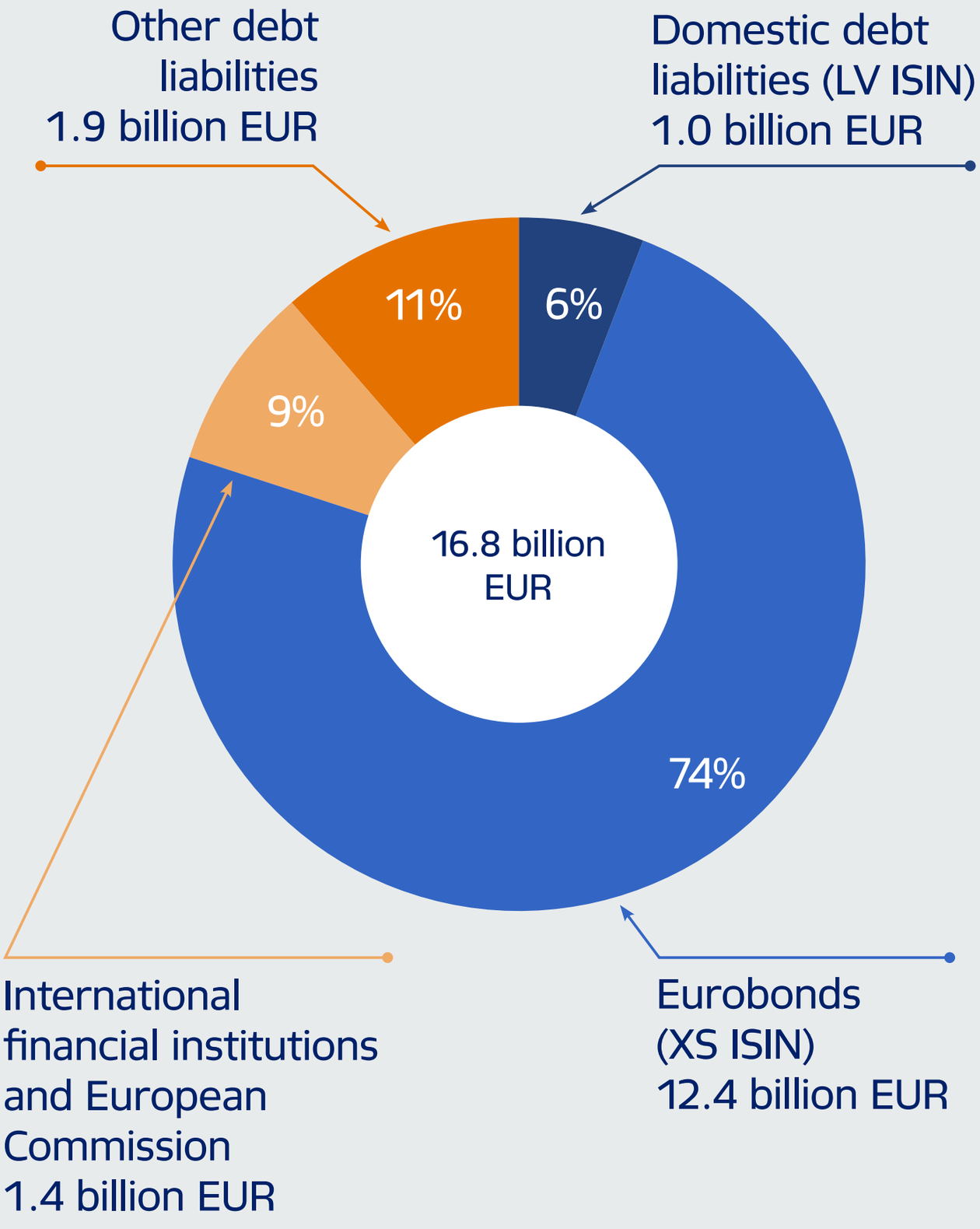


Outstanding savings bonds by instrument (2022-end)

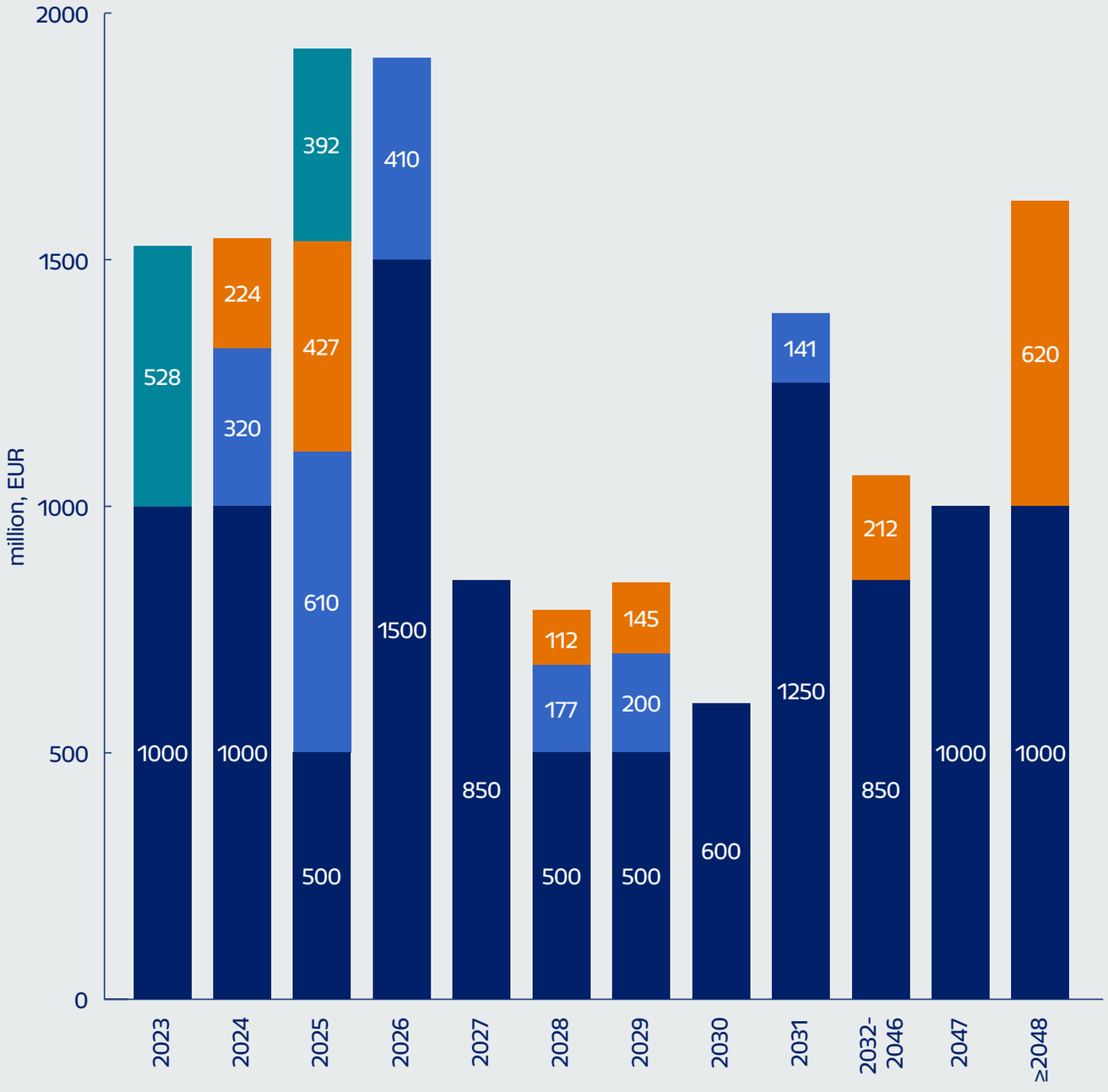


- 6-month savings bond
- 12-month savings bond
- 5-year savings bond
- 10-year savings bond

Central government debt structure

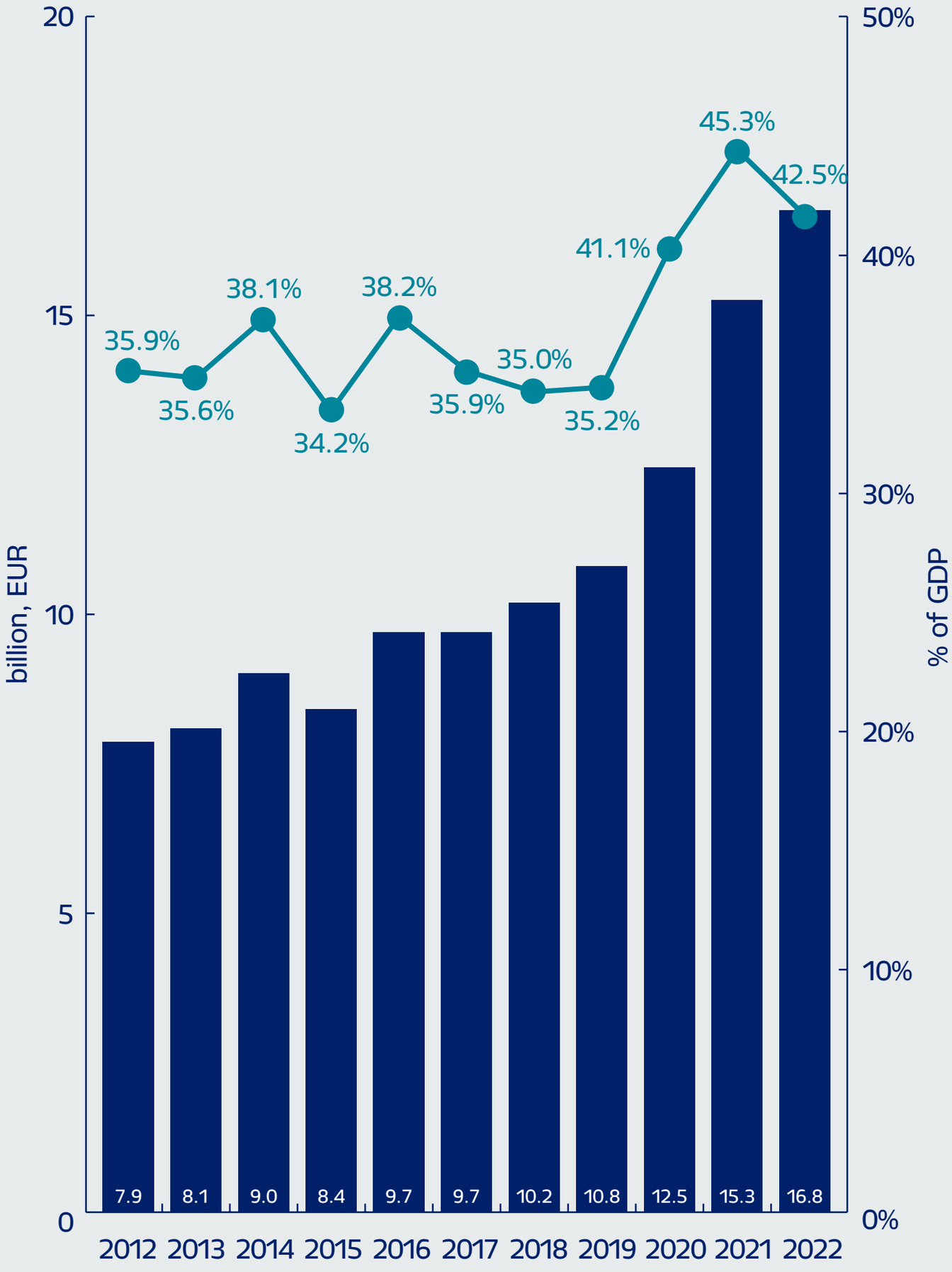


Debt redemption profile

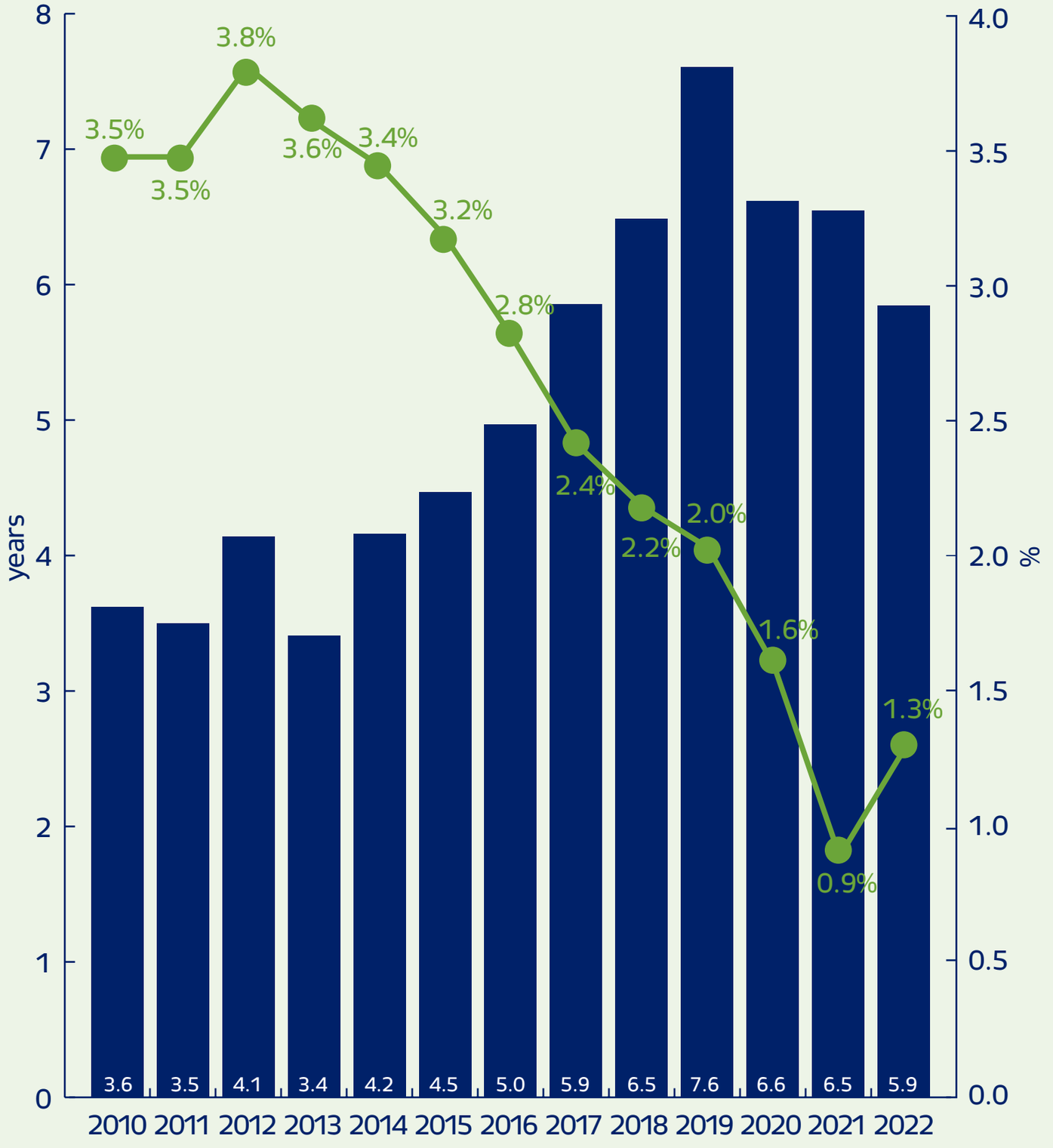


- Eurobonds (XS ISIN)
- Eurobond (XS ISIN) TAPs in domestic market
- Other debt liabilities
- Domestic securities (LV ISIN)

Central government debt dynamics
(national methodology)



Central government debt portfolio metrics



- Weighted average central government debt portfolio interest rate (%)
- Central government debt portfolio duration (years)